

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLORADO

Civil Action No. _____

ADEPT COMPUTER SOLUTIONS, INC., a California Corporation

Plaintiff,

v.

ZOLL DATA SYSTEMS, a Delaware Corporation, a California Corporation and JOHN
DOES 1-20.

Defendants.

COMPLAINT

Plaintiff Adept Computer Solutions, Inc. ("Adept"), through its undersigned attorneys, states the following as its Complaint against defendants Zoll Data Systems, Inc. ("Zoll") and JOHN DOES 1 through 20.

PARTIES

1. Adept is a California corporation, with its principal place of business in San Diego, California.

2. Zoll is a Delaware corporation with its principal place of business in Broomfield, Colorado. Prior to a name change in February 2004, Zoll was known as Pinpoint Technologies. The two names refer to the same company and will be referred to in this complaint as "Zoll."

3. DOES are individuals or entities of unknown nature, who purchased products from Zoll containing Adept's copyrighted Street Wizard software.

JURISDICTION AND VENUE

4. Some of Adept's claims arise under the copyright and trademark laws of the United States (the Copyright Act 17 U.S.C. § 501 and the Lanham Act, 15 U.S.C. § 1125) thereby giving rise to the Court's original jurisdiction pursuant to 28 U.S.C. § 1338 and pursuant to 15 U.S.C. § 1121. The other claims are so related to the claims within the Court's original federal question jurisdiction, that they form part of the same case or controversy, giving rise to the Court's supplemental jurisdiction pursuant to 28 U.S.C. § 1367.

5. The Court also has jurisdiction over all the claims under 28 U.S.C. § 1332 because the case is between citizens of different states and the matter in controversy exceeds the value of \$75,000, exclusive of interest and costs.

6. Venue is appropriate in this judicial district pursuant to 28 U.S.C. § 1391 and § 1400.

GENERAL ALLEGATIONS

Street Wizard

7. Adept creates and sells mapping software compatible with various Windows® computer operating systems. The company is the developer and purveyor of the Street Wizard computer mapping software program. In its basic form, Street Wizard provides local street maps and allows the user to locate places and addresses within the continental United States and Hawaii. The software will create routes and directions for the user and can create printable customized maps. More sophisticated versions of the program run on Windows handhelds, offer a link to additional databases,

and even a linkage with devices capable of accessing the satellite-based Global Positioning System (GPS) to allow the user's location to be displayed on a map.

8. The underlying data used by Adept in the Street Wizard software are obtained from government sources. Those data occasionally include errors that could result in incomplete or incorrect address location, routing maps and directions. For that reason, and because it wants to shield itself from potential liability arising from the data imperfections, Adept does not license Street Wizard for any type of emergency use.

9. Every copy of Street Wizard contains a License Agreement into which the user enters with Adept upon installing, and by installing, the software on their computer. Pursuant to the License Agreement the user agrees: that they may only use one copy of the program on a single computer or terminal or on one workstation of a multi-user computer or network; that the program may not be sub-licensed, rented or leased; and that the program may not be used for emergency use.

10. Adept sells several different products in the Street Wizard line: Street Wizard Standard (hereinafter "Standard"), Street Wizard Pro ("Pro"), Street Wizard Navigator ("Navigator"), Street Wizard Developer's Edition ("Developer's Edition") and Street Wizard Runtime ("Runtime"). Standard, Pro and Navigator are software products sold directly to end users, that include the program on a CD-ROM, a manual and a license permitting use on one computer.

11. The Developer's Edition includes both software and special, proprietary documentation and examples that describe special command keys that allow Street Wizard to be controlled by and linked to other programs. The Developer's Edition

includes one Street Wizard Runtime program that contains a CD-ROM, a manual and a license for use on one computer. This allows the programmer to run his program and see it control Street Wizard.

12. Additional Runtimes are available separately and each includes a CD-ROM, a manual and a license for use on one computer. Runtimes purchased separately do not include information on the format and usage of the command keys. This information is kept confidential and only available through the purchase of Street Wizard Developer's Edition.

13. The Street Wizard software has been registered with the United States Copyright Office. Street Wizard 6.0 is registered (No. TX 6-199-106) effective 10/13/2004. Street Wizard 7.0 is registered (No. TX 6-199-107) effective 10/13/2004. Street Wizard for CE 7.0 is registered (No. TX 6-199-108) effective 10/13/2004. Street Wizard Developers Edition 4.0 is registered (No. TX 6-122-694) effective 04/06/2005. Adept is the owner of each of these copyrights.

14. Each of the five Street Wizard products contains different combinations of the copyrighted materials. Standard includes Street Wizard 6.0, Street Wizard 7.0. Pro, Navigator and Runtimes contain Street Wizard 6.0, Street Wizard 7.0 and Street Wizard for CE 7.0. Developer's Edition includes Street Wizard 6.0, Street Wizard 7.0 and Street Wizard for CE 7.0 and Street Wizard Developers Edition 4.0.

15. "Street Wizard" is a registered trademark (No. 110641) with the California Secretary of State. "Street Wizard" is also a registered trademark (ID# 20051283636) with the Colorado Secretary of State.

Zoll's Use of Street Wizard

16. In September of 1999, a Canadian company called ResponseOne Technologies, Inc. purchased one copy of the Developer's Edition of Street Wizard from Adept. The software incorporated the standard Street Wizard License Agreement described above with the right to run Street Wizard on one computer. When it installed the program ResponseOne (or its successor in interest) agreed to the terms of the License Agreement.

17. On or around July 5, 2000, ResponseOne was acquired by Zoll. As a result of the transaction, Zoll became the owner of the Street Wizard Developer's Edition originally bought by ResponseOne. As ResponseOne's successor in interest, Zoll also became responsible for the users' obligations under the License Agreement ResponseOne entered into with Adept.

18. Zoll's business included the development and sale of mobile dispatch products, including a system called "Nomad." Upon information and belief, Nomad is, or includes, a software program that allows ambulance crews to communicate with a dispatch center and provides the crew with voiceless trip assignments and destination addresses. Upon information and belief, Nomad is, or includes, a software program that allows the dispatch center to communicate with ambulance crews and displays ambulance locations and destinations on a map. Upon information and belief, Nomad is sold to hospitals and ambulance companies with the intent and purpose that it be used for emergency location, routing and other emergency uses.

19. In July of 2001, Zoll inquired of Adept about the availability of additional "Runtime" licenses so that Zoll could incorporate Street Wizard into Nomad. Adept refused to sell these licenses because it does not license Street Wizard for emergency uses, such as emergency dispatch and ambulance routing.

20. In June of 2003, Zoll purchased from Adept an upgrade for the Developer's Edition of Street Wizard that it already owned. When it installed the upgrade, Zoll again agreed to the standard Street Wizard license terms restricting copying and resale and prohibiting emergency use of Street Wizard.

21. Upon information and belief, in direct violation of its obligations under its License Agreement with Adept, and in willful violation of Adept's copyright, Zoll incorporated Street Wizard Developers Edition command keys and Runtime software into copies of its Nomad software which Zoll in turn sold to its customers. Zoll did so without seeking or obtaining Adept's permission and without paying Adept any additional license fee for the illegally expanded and prohibited use of the Street Wizard software. Upon information and belief, Zoll continues this unlawful distribution of Street Wizard to this day.

22. Despite its agreement to limit its use of the Street Wizard program to only one copy on a single computer or terminal or on one workstation of a multi-user computer or network, Zoll installed, or caused to be installed, Street Wizard on computers in ambulances, supervisor stations, vehicles and the like.

23. Upon information and belief, Zoll also granted all or many of their customers a license to install and run Street Wizard on every desktop computer in the

company. Specifically, in the Nomad Administrator's Guide, distributed with Zoll's Nomad product, the users are informed that "the Nomad Map utility [i.e., Street Wizard] can be installed on any machine, and multiple copies of it can be running on your network at the same time." Zoll's infringement was caused both by their own unlawful copying and distributing the software, by authorizing the installation on all their customer's computers and by unlawfully granting numerous licenses designed to and having the effect of encouraging others to make additional unauthorized and unlawful copies. By telling their users that Street Wizard "can be installed on any machine", Zoll has unlawfully sold their customers a license for all computers at the company.

24. Zoll used special command keys that are only available through the Street Wizard Developer's Edition to control the maps to show the current ambulance location and destination. Without these codes, Street Wizard would be of little use and would not likely be included in ambulances. With these codes, the software performs like the in-vehicle mapping systems common in today's high-end vehicles, but includes additional functions. Without requiring any user interaction, the current location and destination of the ambulance are displayed, and the map zooms into the appropriate area. These important functions are provided by using the special codes that are only available through the Developers Edition. Because the Developer's Edition prohibits distributing these codes for emergency purposes, Zoll has infringed the Developers Edition with every distribution of Street Wizard.

25. Although Zoll received a copy of Street Wizard v8 a month prior to their first distribution to customers, they chose to distribute Street Wizard v7, an older version

of Street Wizard containing software bugs that had since been fixed and street data that were many years older than the current version. This could cause ambulances to be additionally delayed getting to and from medical emergencies on newer streets and exposed patients, ambulance companies and Adept to unnecessary additional risks and degradation of its reputation and business value.

26. In conjunction with this wrongful and illegal use of Street Wizard software, Zoll has unlawfully used the Street Wizard trademark and Adept's trade dress, such as map images and icons in its technical manuals, in its software, and on its internet web site, without Adept's prior knowledge or permission. The manual distributed with the Nomad product suggests using Street Wizard's online Help that includes links to its web site, which includes telephone and email contact information. This use on the web site, in its software, and in the manual continues to this day.

27. In September 2004, Adept received an e-mail from a Nomad user asking about obtaining upgrades for the Street Wizard maps that the user was supplied by Zoll with the Nomad software. This was the first notice Adept had that Zoll had incorporated Street Wizard in applications it sold to its customers.

28. After being confronted with the facts, Zoll's senior management admitted to Adept that, beginning in July of 2003, the company had illegally copied the Street Wizard software and illegally distributed no fewer than 1,385 copies of Street Wizard. Upon information and belief, those customers are hospitals and ambulance services that can, and in some instances do, use said Street Wizard copies for emergency uses, such as routing ambulances. Adept has also learned that until sometime after it

objected to Zoll in Autumn 2004, Zoll did not include in its manual, in its software, or its internet web site any restriction on the use of the Street Wizard program for emergency use.

29. Zoll's conduct has put Adept at great risk from claims by patients carried by Nomad equipped ambulances who were allegedly injured as a result of data imperfections in the Street Wizard software or by data that was out-of-date at the time Zoll wrongfully included it in its Nomad system. Such a risk would not exist had Zoll complied with its obligations under the License Agreement with Adept, or, at least, warned its customers not to use the program for emergency uses. Since discovering Zoll's illegal copying and distribution of Street Wizard, Adept has attempted to warn the users of the illegal copies that the software should not be used for any emergency use. Adept has tried repeatedly to learn from Zoll the identities of the customers in receipt of the infringing software so that it could warn them. Although originally agreeing to provide this customer contact information, Zoll later refused to do so. In reckless disregard for the lives, health and well-being of innocent ambulance patients, Zoll refused even to provide a warning itself to its customers about the risk associated with the emergency use of Street Wizard.

FIRST CLAIM FOR RELIEF
(Breach of Contract)

30. The allegations of paragraphs 1 to 29 are incorporated and re-alleged as if fully set forth herein.

31. By installing and using the Street Wizard software, Zoll agreed to the terms of the License Agreement, which is a contract between the parties.

32. Zoll's incorporating Street Wizard into other programs it sells to its customers, without license or permission from Adept, and Zoll's encouraging its customers to run multiple copies on computer networks despite agreeing to a single use, are breaches of the contract between the parties.

33. Zoll's incorporating Street Wizard into other programs it sells to its customers without advising them that Street Wizard is not for emergency uses is in contravention of the terms of the License Agreement and is, therefore, a breach of the contract between the parties.

34. Adept was damaged by the foregoing breaches of contract in an amount to be proven at trial, but not less than \$685,575.

35. Adept has no adequate remedy at law for Zoll's breach of contract by its failure to warn recipients of the unauthorized copies of Street Wizard that the program should not be used for emergency uses. As a result, Adept is entitled to an injunctive order requiring Zoll to so notify said recipients.

SECOND CLAIM FOR RELIEF
(Copyright Infringement)

36. The allegations of paragraphs 1 to 35 are incorporated and re-alleged as if fully set forth herein.

37. Adept is the owner of the copyright for the Street Wizard software. As such, pursuant to 17 U.S.C. § 106, Adept has the exclusive right to reproduce the program in copies, to prepare derivative works from it, and to distribute it to the public by sale, rental or lease.

38. By incorporating Street Wizard into other programs it sold to its customers without Adept's knowledge or permission, Zoll violated Adept's exclusive rights under 17 U.S.C. § 106, and is an infringer of Adept's copyright.

39. Because of its invitation to its customers to install the software on each of their computers, Zoll's act of infringement extends to every computer of each customer purchasing the infringing software from Zoll.

40. Upon information and belief, the DOES, as encouraged by Zoll, have unlawfully made copies of Street Wizard in violation of Adept's exclusive rights under 17 U.S.C. § 106, and each is an infringer of Adept's copyright.

41. Some or all of Zoll's acts of infringement were committed willfully.

42. Adept is entitled to actual and statutory damages pursuant to 17 U.S.C. § 504. For the purposes of calculating damages, Adept is entitled to recover Zoll's profits on the entire Nomad system (or any other system unlawfully incorporating Adept's copyrighted material) because of the critical role the software plays in an emergency dispatch system. Infringements of the copyright that occurred on or after October 13, 2004 are subject to statutory damages.

43. Adept is entitled to an injunction to prevent further infringement of its copyright in Street Wizard.

44. Adept is entitled to have all illegal copies of Street Wizard impounded pursuant to 17 U.S.C. § 503.

THIRD CLAIM FOR RELIEF
(Lanham Act 15 U.S.C. § 1125)

45. The allegations of paragraphs 1 to 44 are incorporated and re-alleged as if fully set forth herein.

46. Zoll's inclusion of Adept's Street Wizard name, trademark, software, maps and icons in its manuals, in its software, and on its internet web site, is a use in connection with its goods and services in commerce.

47. Zoll's inclusion of Adept's Street Wizard name, trademark, software, maps and icons in its manuals, in its software, and on its internet web site constitutes a false designation of origin of the Street Wizard program that Zoll improperly includes in the products it sells to its customers.

48. Zoll's use of Adept's Street Wizard name, trademark, software, maps and icons in its manuals, in its software, and on its internet web site, and its false designation of the origin of the Street Wizard program, are likely to cause confusion as to the affiliation, connection or association of Zoll and Adept, and as to the origin, sponsorship or approval of Zoll's goods and services by Adept.

49. As a consequence of Zoll's violations of the Lanham Act (15 U.S.C. § 1125(a)), Adept is entitled to recover Zoll's profits, Adept's damages, and Adept's costs.

50. Zoll's conduct in this matter is extraordinary, warranting an award of attorney fees to Adept.

FOURTH CLAIM FOR RELIEF
(California Trademark Infringement)

51. The allegations of paragraphs 1 to 50 are incorporated and re-alleged as if fully set forth herein.

52. Zoll's use of Adept's registered Street Wizard trademark in its manuals, in its software, and on its internet web site, is a use in connection with Zoll's sale, offering for sale or advertising its goods and services.

53. Zoll does not have the consent of Adept, the registrant of the Street Wizard trademark, to use the mark in Zoll's manuals, in its software, and on its internet web site.

54. Zoll's use, without Adept's consent, of the Street Wizard trademark in connection with Zoll's sale, offering for sale or advertising its goods and services is likely to cause confusion or mistake or to deceive as to the source of origin of those goods and services.

55. As a consequence of Zoll's wrongful use of its trademark, Adept is entitled to recover three times Zoll's profits and three times Adept's damages and to an injunction pursuant to Section 14340 of California Business and Professions Code.

FIFTH CLAIM FOR RELIEF
(Trademark Dilution)

56. The allegations of paragraphs 1 to 55 are incorporated and re-alleged as if fully set forth herein.

57. Zoll's used Adept's registered Street Wizard trademark in its manuals, in its software, and on its internet web site. Zoll distributed the Street Wizard program

without limitations on its emergency use. Zoll distributed on older version of Street Wizard with out-of-date street data and software bugs that had been fixed. These actions are likely to diminish Adept's business reputation and dilute the distinctive quality of Adept's registered trademark.

58. As a consequence, Adept is entitled to injunctive relief pursuant to Section 14330 of the California Business and Professions Code.

SIXTH CLAIM FOR RELIEF
(Unfair Competition)

59. The allegations of paragraphs 1 to 58 are incorporated and re-alleged as if fully set forth herein.

60. Zoll's wrongful copying and distribution of the Street Wizard program without permission and in violation of its contractual obligations constitutes unfair business practices and, hence, unfair competition in violation of Section 17200 et. seq. of the California Business and Professions Code.

61. Zoll's wrongful use of Adept's registered Street Wizard trademark in its manuals, in its software, and on its internet web site constitutes unfair business practices and, hence, unfair competition in violation of Section 17200 et. seq. of the California Business and Professions Code.

62. As a consequence of Zoll's unfair competition, Adept is entitled to restitution in an amount to be proven at trial.

63. Adept is further entitled to an injunction enjoining Zoll from engaging in further unfair competition.

DEMAND FOR JURY TRIAL

64. Adept hereby demands a jury trial.

WHEREFORE, plaintiff Adept Computer Solutions, Inc. prays for the following relief:

- A. Under Adept's First Claim for Relief, against Zoll for:
 - (i) monetary damages in an amount to be proven at trial, but not less than \$685,080;
 - (ii) an injunction ordering Zoll to warn all customers to whom it distributed illegal copies of Street Wizard that Zoll wrongly included the software in its product and that neither the Street Wizard software, nor its maps, nor its routing data should be used for any emergency use or for any other use where the safety or welfare of patients could be deleteriously affected by inaccuracies in the mapping data or by delays potentially associated with such inaccuracies;
 - (iii) attorneys' fees;
 - (iv) prejudgment, postjudgment, and moratory interest;
 - (v) costs including expert witness fees; and
 - (vi) such other relief as the Court deems proper.
- B. Under Adept's Second Claim for Relief, against Zoll and the DOES for:
 - (i) The greater of actual damages and additional profits of Zoll for all sales of infringing Nomad systems, or any other system unlawfully

incorporating the Street Wizard software, and of the DOES for damages as called for in 17 U.S.C. § 504;

(ii) an injunction, pursuant to 17 U.S.C. § 502, requiring Zoll and the DOES to cease its infringing activities;

(iii) impoundment of all illegal copies of Street Wizard held by Zoll and the DOES pursuant to 17 U.S.C. § 503;

(iii) attorneys' fees pursuant to 17 U.S.C. § 505;

(iv) prejudgment, postjudgment, and moratory interest;

(v) costs including expert witness fees; and

(vi) such other relief as the Court deems proper.

C. Under Adept's Third Claim for Relief, against Zoll for:

(i) Zoll's profits and Adept's damages as called for in 15 U.S.C.

§ 1117(a), including triple profits and damages called for in 15 U.S.C.

§ 1117(b);

(ii) an injunction, pursuant to 15 U.S.C. § 1116, requiring Zoll to cease its activities in violation of 15 U.S.C. § 1125(a);

(iii) attorneys' fees pursuant to 15 U.S.C. § 1117(a)(3);

(iv) prejudgment, postjudgment, and moratory interest;

(v) costs including expert witness fees; and

(vi) such other relief as the Court deems proper.

D. Under Adept's Fourth Claim for Relief, against Zoll for:

- i) Three times Zoll's profits and three times Adept's damages as called for in Section 14340 of California Business and Professions Code;
 - (ii) an injunction, to restrain Zoll from further use of Adept's trademark;
 - (iii) attorneys' fees;
 - (iv) prejudgment, postjudgment, and moratory interest;
 - (v) costs including expert witness fees; and
 - (vi) such other relief as the Court deems proper.
- E. Under Adept's Fifth Claim for Relief, against Zoll for:
- (i) an injunction, to restrain Zoll from its activities diluting Adept's Street Wizard trademark;
 - (ii) an injunction, ordering Zoll to warn all customers to whom it distributed illegal copies of Street Wizard that Zoll wrongly included the software in its product and that neither the Street Wizard software, nor its maps, nor its routing data should be used for any emergency use or for any other use where the safety or welfare of patients could be deleteriously affected by inaccuracies in the mapping data or by delays potentially associated with such inaccuracies;
 - (iii) attorneys' fees;
 - (iv) prejudgment, postjudgment, and moratory interest;
 - (v) costs including expert witness fees; and
 - (vi) such other relief as the Court deems proper.
- F. Under Adept's Sixth Claim for Relief, against Zoll for:

- i) Restitution as called for in Section 17203 of California Business and Professions Code;
- (ii) an injunction, to restrain Zoll from acts of unfair competition;
- (iii) attorneys' fees;
- (iv) prejudgment, postjudgment, and moratory interest;
- (v) costs including expert witness fees; and
- (vi) such other relief as the Court deems proper.

Dated: October 3, 2005

Respectfully submitted,

s/ Stewart McNab
Stewart McNab
CARVER KIRCHHOFF SCHWARZ McNAB &
BAILEY, LLC
1600 Stout Street, Suite 1700
Denver, Colorado 80202
Telephone: (303) 893-1815
Facsimile: (303) 893-1829
E-Mail: smcnab@cksmb.com

Attorneys for Plaintiff ADEPT COMPUTER SOLUTIONS,
INC.